Memo: where next quarter's promotion money should go

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To: Head of Marketing, Brightbasket **Re:** Next quarter's promotion budget

Bottom line: Put a display next to more mailer items, stop paying for front-page upgrades, and test a coupon offer for our 355 at-risk households before rolling it out. The display change alone is worth about **$2,670 of extra sales per 1,000 households a year**, and the coupon offer could add **$6,471** more if the test confirms it. Neither needs new budget.

What I found

I measured every promotion against what the product normally sells in that store at that time of year, across two years of shopping by 2,500 loyalty households.

1. **Display and mailer add up.** Giving a mailer item a display too adds $2.19 of sales for every extra discount dollar. A mailer on its own returns only $0.84 per discount dollar.
2. **The front page sells more because it's discounted harder.** Front-page features sell 3x more than interior pages, but upgrading a slot returns just $0.73 per extra discount dollar.
3. **The campaigns can't be shown to work, and coupons go to people who'd shop anyway.** 5 of 6 campaign comparisons failed the fairness check, and the one that passed showed no effect. Champions redeem 36% of coupons they get; at-risk households redeem 20%.
4. **At-risk households are where the money is leaking.** 355 once-frequent shoppers have gone quiet. I expect about $80.9K of their sales to walk out each year.

What I recommend

The display change is the safest money; the coupon offer is the biggest prize but needs a test first.

#	Move	Extra sales per 1,000 households a year	Cost	How sure I am
1	Put a display next to 20% of mailer-only items	+$2,670	+$1,219 discount; about 21% more display space	Fairly: built on measured uplift

#	Move	Extra sales per 1,000 households a year	Cost	How sure I am
2	Stop upgrading interior-page features to the front page	Avoids losing $0.27 on every extra discount dollar	None	Fairly
3	Move Champions' coupons to at-risk households	+$6,471 if the offer keeps 20% of leavers	None: the same ~$342 of coupons, redirected	Low until tested
4	Test move 3 before rolling it out	Decides whether move 3 happens	6,700 households, 12 weeks (appendix)	A randomised test settles it

Dollars come from 2,500 loyalty households over two years. To size them for the chain, multiply by its loyalty households in thousands. Move 3 breaks even if it keeps just 1% of at-risk sales. Cutting promotions in Cosmetics, Floral, Nutrition and packaged Seafood, where they mostly shift sales between similar products, would save $322 of discount for $251 of sales: worth doing, too small to lead with.

What I need from you

- [ ] Approve about 21% more display slots for mailer items in next quarter's plan, with the category managers.
- [ ] Hold front-page upgrades unless a category needs volume more than margin.
- [ ] Approve the 12-week coupon test below. I can have the household list and the random split ready within a week of sign-off.
- [ ] Agree the decision rule now, before results come in: roll out only if the low end of the 95% range clears break-even.

Appendix: the coupon test

A coin decides who gets the offer, so the two groups differ only in the offer. The campaign data couldn't do that, because we chose who to target and they were already changing before the campaigns started.

Part	Design
Hypothesis	A coupon offer raises at-risk households' weekly spend over 8 weeks, compared with no offer
Who	At-risk or churn-flagged households, split 50/50 at random within each segment
Primary metric	Average weekly spend per household over 8 weeks, counting $0 for weeks with no trip
Secondary metrics	Share still shopping after 8 weeks; coupon cost per household
Sample size	About 3,350 per group (6,700 total) to detect a 10% lift ($1.33 a week) with 95% confidence and 80% power
Duration	8 weeks of offer, then 4 weeks after to catch any dip once the coupons stop
How I read it	The difference in average spend, test minus control, with its 95% range
Decision	Range entirely above break-even: roll out. Above $0 but straddling break-even: run longer or try a cheaper offer. Includes $0: keep the money

The size comes from how noisy spend is: these households average $13.29 a week with a standard deviation of $19.41. Our sample has only 701 of them, so the test has to run across the chain's whole loyalty base. Seeing the share still shopping move from 68% to 73% needs a similar 1,300 per group. Before reading any result, I'd check that the two groups looked alike beforehand and that no household switched groups.